

PLFS

Periodic Labour Force Survey (PLFS)

-Started in April 2017

-**objective** of PLFS is primarily twofold: • to estimate the key employment and unemployment indicators (viz. Worker Population Ratio, Labour Force Participation Rate, Unemployment Rate) in the short time interval of three months for the urban areas only in the 'Current Weekly Status' (CWS). • to estimate employment and unemployment indicators in both 'Usual Status' (ps+ss) and CWS in both rural and urban areas annually.

-In the quarterly bulletins estimates of labour force indicators, viz., Worker population ratio (WPR), Labour Force Participation Rate (LFPR), Unemployment Rate (UR), distribution of workers by broad status in employment and industry of work in the Current Weekly Status (CWS) for urban areas are presented.

-**Sample Design** of PLFS:

A rotational panel sampling design has been used in urban areas. In this rotational panel scheme, each selected household in urban areas is visited four times, in the beginning with 'First Visit Schedule' and thrice periodically later with a 'Revisit Schedule'. The scheme of rotation ensures that 75% of the first-stage sampling units (FSUs)¹ are matched between two consecutive visits. (Urban Frame Survey Blocks (UFS) are the smallest area units taken as first-stage sampling units (FSU) in urban areas for PLFS).

A stratified multi-stage design would be adopted for the periodic labour force survey. The first stage units (FSU) are the Urban Frame Survey (UFS) blocks. The ultimate stage units (USU) are households. The list of latest available Urban Frame Survey (UFS) blocks would be considered as the sampling frame.

-Sample Size:

At the all-India level, in the urban areas, a total number of 5,676 FSUs (UFS blocks) have been surveyed during the quarter July – September 2021. The number of urban households surveyed was 44,272 and number of persons surveyed was 1,71,405 in urban areas.

-The Quarterly Bulletin of Periodic Labour Force Survey (PLFS) **gives estimates of Key employment and unemployment Indicators** like the Labour Force Participation Rate (LFPR), Worker Population Ratio (WPR), Unemployment Rate (UR), etc. These indicators, and 'Current Weekly Status' are defined as follows:

(a) Labour Force Participation Rate (LFPR): LFPR is defined as the percentage of persons in labour force (i.e. working or seeking or available for work) in the population.

(b) Worker Population Ratio (WPR): WPR is defined as the percentage of employed persons in the population.

(c) Unemployment Rate (UR): UR is defined as the percentage of persons unemployed among the persons in the labour force.

(d) Current Weekly Status (CWS): The activity status determined on the basis of a reference period of last 7 days preceding the date of survey is known as the current weekly status (CWS) of the person.

-Principal activity status(ps): The activity status on which a person spent relatively long time (major time criterion) during 365 days preceding the date of survey, was considered the usual principal activity status of the person.

-Subsidiary economic activity status(ss): The activity status in which a person in addition to his/her usual principal status, performs some economic activity for 30 days or more for the reference period of 365 days preceding the date of survey, was considered the subsidiary economic status of the person.

-Current weekly activity status: The current weekly activity status of a person is the activity status obtaining for a person during a reference period of 7 days preceding the date of survey. It is decided on the basis of a certain priority cum major time criterion. According to the priority criterion, the status of 'working' gets priority over the status of 'not working but seeking or available for work', which in turn gets priority over the status of 'neither working nor available for work'. A person is considered working (or employed) if he/ she, while pursuing any economic activity, had worked for at least one hour on at least one day during the 7 days preceding the date of survey. A person is considered 'seeking or available for work (or unemployed)' if during the reference week no economic activity was pursued by the person but he/ she made efforts to get work or had been available for work any time during the reference week though not actively seeking work in the belief that no work was available. A person who had neither worked nor was available for work any time during the reference week, is considered to be engaged in non-economic activities (or not in labour force).

-Current daily activity status: The current daily activity status for a person is determined on the basis of his/ her activity status on each day of the reference week using a priority-cum-major time criterion (day to day labour time disposition). The current daily status of a person is determined using the following criteria: i) Each day of the reference week is looked upon as comprising of either two 'half days' or a 'full day' for assigning the activity status. ii) A person is considered 'working' (employed) for the entire day if he/ she had worked for 4 hours or more during the day. iii) If the person had worked for 1 hour or more but less than 4 hours, he/ she is considered 'working' (employed) for half-day and 'seeking or available for work' (unemployed) or 'neither seeking nor available for work' (not in labour force) for the other half of the day depending on whether he was seeking/ available for work or not. iv) If a person was not engaged in 'work' even for 1 hour on a day but was seeking/ available for work even for 4 hours or more, he/ she is considered 'unemployed' for the entire day. But if he/ she was 'seeking/

available for work' for more than 1 hour and less than 4 hours only, he/ she is considered 'unemployed' for half day and 'not in labour force' for the other half of the day. v) A person who neither had any 'work' to do nor was available for 'work' even for half a day was considered 'not in labour force' for the entire day and is assigned one or two of the detailed non-economic activity status depending upon the activities pursued by him/ her during the reference day. vi) It may be noted that while assigning intensity, an intensity of 1.0 was given against an activity which is done for 'full day' and 0.5, if it is done for 'half day'.

-Villages and urban blocks are the smallest area units taken as first-stage sampling units (FSU) in rural and urban areas respectively.

-For rural areas, in each quarter of the survey period, 25% FSUs of annual allocation were covered.(during annual survey only as in quarterly survey only urban area is considered).

-Formulae/Def. in PLFS:

(I) Worker Population ratio (WPR) =
$$\frac{\text{No. of employed persons}}{\text{Total Pop. of country}} \times 100$$

(II) Labour Force Participation Rate(LFPR) =
$$\frac{\text{No. of employed persons} + \text{No. of involuntarily unemployed persons}}{\text{Total Pop. of country}} \times 100$$

(III) Unemployment Rate (UR) =
$$\frac{\text{No. of Involuntarily unemployed persons in labour force}}{\text{Total Labour Force}} \times 100$$

(IV) Labour Force = Those who are working(i.e. employed) + those seeking or available for work (i.e. involuntarily unemployed)

(V) CWS : if not employed even 1 hr in a week

CDS : if not employed even 1 hr in a day in a given week

Usual Status (one year) = ps+ss

(VI) Unemployed= not working but seeking or available for work

(VII) Employed= (Working)= Self-employed+regular wage/salaried employee+casual labour

(VIII) Labour force= employed+unemployed

(IX) Not in Labour force= neither working nor available for work